

8 pages
11

NELSON ESP

LIBRARY COPY
LLB 3
1ST SEM

THE COMMERCIAL BANKS

PS Austin - 08/08/11

Commercial banks are generally referred to as those banking institutions that create money in the form of demand deposits. Section 66 of the BOFIA, defines commercial bank as a bank in Nigeria whose business include the acceptance of deposits withdrawable by cheques. However, it must be noted that not all deposits are withdrawable by cheques as some are withdrawable by passbook depending on the nature of the account the depositors opened with the bank. It is also now possible to withdraw deposits with the aid of ATM from the bank. A commercial bank is a financial institution which performs the functions of accepting deposits from the general public and giving loans for investment with the aim of earning profit.

In fact, commercial banks, as their names implies, are profit-seeking institutions, i. e, they do banking business to earn profit. Today, the largest part of the Nigerian money stock consists of deposits which are debts of the commercial banks. Unlike the Central Bank, their main aim is targeted at profit making. It is a profit making business. They generally finance trade and commerce with short-term loans. They charge high rate of interest from the borrowers but pay much less rate of interest to their depositors with the result that the difference between the two rates of interest becomes the main source of profit of the banks.

The operation of commercial banks in Nigeria dates back to the era of 1892-1952 and following the increase in the called up capital of banks policy which necessitated mergers and acquisitions, we now have 24 commercial banks in Nigeria.

FUNCTIONS:

The basic functions of commercial banks are:

1. It accepts deposits:

A commercial bank accepts deposits in the form of current, savings and fixed deposits. It collects the surplus balances of the individuals, firms and finances the temporary needs of commercial transactions. The first task is, therefore, the collection of the savings of the public. The bank does this by accepting deposits from its customers. Deposits are the lifeline of banks.

2. It gives loans and advances:

The second major function of a commercial bank is to give loans and advances particularly to businessmen and entrepreneurs and thereby earn interest. This is, in fact, the main source of income of the bank. A bank keeps a certain portion of the deposits with itself as reserved and gives (lends) the balance to the borrowers as loans and advances in the form of cash-credit to the various sectors of the national economy.

3. Discounting bills of exchange or bundle:

A bill of exchange represents a promise to pay a fixed amount of money at a specific point of time in future. It can also be cashed earlier through discounting process of a commercial bank. Alternatively, a bill of exchange is a document acknowledging an amount of money owed in consideration of goods received. It is a paper asset signed by the debtor and the creditor for a fixed amount payable on a fixed date. For example, suppose A buys goods from B, he may not pay B immediately but instead give B a bill of exchange stating the amount of money owed and the time when A will settle the debt. Suppose, B wants the money immediately, he will present the bill of exchange to the bank for discounting. The bank will deduct the commission and pay to B the present value of the bill. When the bill matures after specific specified period, the bank will get payment from A.

4. It provides overdraft facility:

An overdraft is an advance given by allowing a customer keeping current account to overdrawn his current account up to an agreed limit. It is a facility

2

to a depositor for overdrawing the amount than the balance amount in his account. In other words, depositors of current account make arrangement with the banks that in case a cheque has been drawn by them which are not covered by the deposit, then the bank should grant overdraft and honour the cheque.

5. Rendering of agency functions:

The bank acts as an agent of its customers and gets commission for performing agency functions as under:

- (a) **Transfer of funds:** It provides facility for cheap and easy remittance of funds from place to place through demand drafts, mail transfer, telegraphic transfer etc.
- (b) **Collection of funds:** it collects funds through cheques, bills, bundles and demand drafts on behalf of its customers.
- (c) **Payment of various items:** It makes payment of taxes, insurance premium, bills etc. as per the directions of its customers.
- (d) **Purchase and sale of shares and securities:** It buys, sells and keeps in safe custody securities and shares on behalf of its customers.
- (e) **Collection of dividends, interest on shares and debentures on behalf of its customers.**
- (f) **Acts as Trustee and Executor of property of its customers on advice of its customers**
- (g) **Letter of References:** It gives information about economic position of its customers to traders and provides similar information about other traders to its customers.

6. Performing general utility services:

The banks provide many general utility services, some of which are as under:

2

- (a) Traveller's cheques: The banks issue traveller's cheques and gift cheques.
- (b) Locker facility: The customers can keep their ornaments and important documents and valuables in lockers for safe custody in the bank.
- (c) Purchase and sale of foreign exchange currency etc.

MERCHANT BANKS

Merchant banking is of recent development in Nigeria. Neither the Banking Ordinances of 1952 and 1958 nor the Banking Decree of 1969 appeared to have anticipated merchant banking as a distinct and separate type of banking business requiring separate treatment. On the other hand, it is possible to presume that the matter was subsumed under the term "acceptance houses" and "discount houses". However, under the BOFIA, the term is defined as "a bank whose business includes receiving deposits on deposit account, provisions of finance, consultancy and advisory services relating to corporate and investment matters, making or managing investments on behalf of any person. See s. 66 of BOFIA. The first merchant banking business in Nigeria began in 1961 with the opening by Philip Hills of London of an office in Lagos.

It is a bank that conducts underwriting, loan services, financial advising, and fundraising services for large corporation and high net worth individuals. Unlike retail or commercial banks, merchant banks do not provide services to the general public. They do not provide regular banking services like checking accounts and do not take deposits. Merchant banks are experts in international trade, which make them specialists in dealing with multinational corporations. Some of the largest merchant banks in the world include J.P Morgan, Golden Sachs, and Citigroup. However, according to the Central Bank of Nigeria (CBN) latest compilation of Banks and Financial Holdings Companies, dated 30th September,

4

2018, there are five merchant banks in Nigeria. They are Coronation Merchant Bank, FBN Merchant Bank, FSDH Merchant Bank, Rand Merchant Bank, and Nova Merchant Bank.

In Nigeria, merchant banks continue to invest their capital funds in promising industries or in financing external trade. They also provide some of the services as commercial banks but for their deliberately restricted range of customers.

FUNCTIONS:

Generally, their functions include the following:

1. Financing trade, real estate, agricultural, industrial and related activities, particularly capital equipment;
2. Issuing and dealing in shares, debentures stock and other securities including federal and state government stocks;
3. Taking and placing deposits and dealing in money market instruments, including banker's acceptance and commercial notes;
4. Managing of investment portfolios and advising on financial matters such as direct foreign investments, mergers and acquisitions, project fiancé and other financial matters.
5. Arranging credits and providing direct loans and overdrafts both for short and long-term periods etc.

THE DEVELOPMENT BANKS

One of the essential developments in the institutional framework in international as well as national economies has been the spectacular growth of development banks. Development banks have taken diverse forms despite frequent similarity of formal title, including "development banks", "development corporations", "finance corporation" etc. The term 'development bank' is generic employed to describe a financial institution, not always a bank, which has for its purpose the provision of capital and or other material assistance to aid development in a particular sector of

the international or national economy. Development banks are of two types namely-pure development banks which perform the function of providing capital to a definite or selected group of clients and the development corporations which in addition may render various kinds of technical, managerial, commercial and other assistance to their clients.

In Nigeria, inadequacy or insufficiency of indigenous private investments is very often due to shortage of capital. The Nigerian governments over the years have tried to deal with this problem by creating a number of development banks or Loan boards as they were originally conceptualized. These are essential designed to handle government investments in selected or targeted sectors of the national economy aimed at filling the gaps created by the inadequacy or insufficiency of private capital and investment. Thus, they have become financial institutions which plan, finance and carry out investment projects or programmes for or on behalf of the government. They have made it possible for the country to launch a number of successful projects that would never have otherwise materialized and thus have performed positive functions. In this wise, they perform not only the banking function of making funds available for development projects but also the development function of providing technical and managerial assistance to the needy sectors of the national economy. From available record, there are seven development banks in the country which are established under the law with their distinct obligations:

1. Bank of Agriculture
2. Bank of Industry
3. Federal Mortgage Bank of Nigeria
4. Nigerian Export-Import Bank (NEXIM)
5. The Infrastructure Bank
6. Federal Mortgage Bank

SPECIALIZED BANKING INSTITUTIONS:

Apart from the above banks, the federal government at various times, had established some specialized banking institutions to cater mainly for the banking needs of some segments of the Nigerian society, such as peasant farmers, petty traders, and deprived or disadvantaged communities or peoples. Some of such banks are -People's Bank of Nigeria (PBN), the Community Banks (CMBs) and the Urban Development Bank of Nigeria (UDBN). Just as the other banks, CBN has the power to examine from time to time, the accounts and other books of the specialized banks. See s. 30 of BOFIA.

The People's Bank of Nigeria (PBN)

The bank was established essentially to provide the credit needs of small borrowers who cannot meet the stringent collateral requirements normally demanded by conventional commercial banks. Thus, the bank facilitates access to credit by the economic operators at the grass root level and thereby increases their self-reliance. The bank specifically provide credit for the under-privileged Nigerians who are unable to benefit from the services of the orthodox banking system due to their inability to provide collateral security and accept savings from the same group of customers with payment of any interest on the credit given. Under the law creating the bank, "under-privileged Nigerians" are those confirmed by their various trades and professional groups, including roadsides mechanics, self-employed plumbers and electricians, petty traders, small-scale farmers, poultry and other livestock keepers, truck pushers, small-scale farmers, petty tailors, dress-makers, barbers, etc.

The Community Banks (CMB)

The provisions for the creation of this type of banks were first made as part of the 1990 budget proposals. The federal government announced its intention to introduce the Community Banking Scheme and proceeded to dedicate funds

accruing then estimated N45 million from slight upward adjustment in the pump price of fuel for that purpose. The first of the bank was commissioned in Kaduna State on the 31st December, 1990 by the then President of Nigeria. Under the law establishing the bank, any community is authorized to establish a community bank for the purposes of:

- a. Promoting rural development through the provision of finance and banking services;
- b. Enhancing the rapid development of productive activities especially in rural areas; and
- c. Improving the economic status of small-scale producers both in the rural and urban areas.